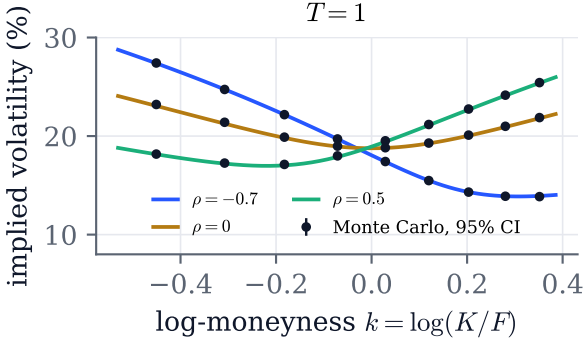
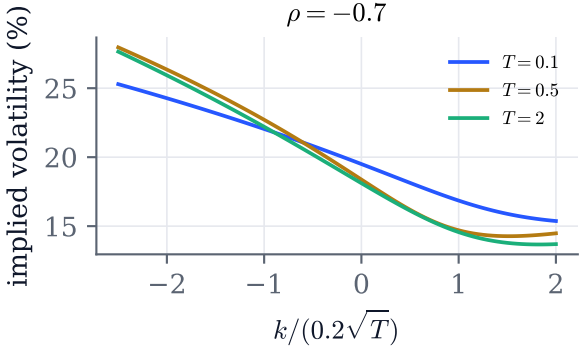

$T = 1$
implied volatility (%)
30
20
10
$\rho = -0.7$
$\rho = 0.5$
$\rho = 0$
Monte Carlo, 95% CI
−0.4
−0.2
0.0
0.2
0.4
log-moneyness $k = \log(K/F)$


$\rho = -0.7$
implied volatility (%)
25
20
15
$T = 0.1$
$T = 0.5$
$T = 2$
−2
−1
0
1
2
$k/(0.2\sqrt{T})$